

Although some people view a fifteen-year mortgage as a disciplined way to pay off their home loans faster, it's not always the best choice. The monthly payments on a fifteen-year mortgage are higher than those on a thirty-year loan. Depending on your situation, it may make more sense to go with the lower monthly payments on a thirty-year loan and use the cash you're not pouring into your home for other investments. For example, you may be better off putting the money into a 401(k) in which your employer matches your contributions.

Also, instead of locking yourself into the higher monthly payments on a fifteen-year mortgage, know that if you have a thirty-year loan you can always pay it off faster. Be sure you get a mortgage without prepayment penalties (which are fees for paying off your loan early) so you have this option.

A Mortgage to Avoid

One type of mortgage to stay away from is a **balloon mortgage**. The way it works is that you make small monthly payments for a fixed number of years—from five to seven—and then you're required to pay off the remainder of the loan in one lump sum. People sometimes opt for balloon mortgages if they plan to sell their home in a few years or if they anticipate that they'll be getting a chunk of cash—such as an inheritance—before the loan comes due. But if something goes wrong and you can't make the final massive payment, you could lose your home.

↓ MAKING THE PROCESS GO SMOOTHLY

If you've gotten this far in the chapter, you have a good basic understanding of what you need to know to get a mortgage. When you're actually ready to begin your search, though, you're likely to encounter some hassles. Here are some tips to make the search as painless as possible:

- **Before you do anything, get a copy of your credit report and credit score from all three bureaus.** Even if you've never been late on a payment, you should do this. (See